

# Daily Market Report

Wednesday, June 17, 2026 - After Market Close | Singapore

## SECTION 1 - Market Summary

| Index            | Closing Price | Day    | 1 Week  | 1 Month | 1 Year  | 52W High | 52W Low |
|------------------|---------------|--------|---------|---------|---------|----------|---------|
| S&P 500 (SPY)    | 740.96        | -1.25% | +2.14%  | +0.31%  | +23.56% | 759.57   | 594.28  |
| Nasdaq 100 (QQQ) | 722.51        | -1.01% | +4.15%  | +2.36%  | +36.14% | 746.16   | 526.83  |
| VIX              | 16.41         | +1.30% | -17.41% | -7.91%  | -4.37%  | 31.05    | 13.47   |

The S&P 500 (SPY) fell -1.25% and the Nasdaq 100 (NDX / QQQ) declined -1.01% on Wednesday as the Federal Reserve's dot-plot signalled a shift toward potential rate hikes, with new Chairman Kevin Warsh vowing to 'deliver price stability' after several FOMC officials indicated at least one hike is possible in 2026. Despite a hawkish tilt, markets recovered significantly from intraday lows after Warsh detailed five new Fed task forces — tech names bore the brunt of selling while SpaceX (SPCX) pulled back sharply -9.26% after Monday's post-IPO euphoria faded.

## SECTION 1B - Early Warning

| Signal               | Status | What It Means                |
|----------------------|--------|------------------------------|
| VIX (fear gauge)     | GREEN  | 16.4 - calm                  |
| Breadth (sectors up) | RED    | 0/11 sectors green - narrow  |
| S&P vs 50-day avg    | GREEN  | +1.7% vs trend               |
| Consumer confidence  | GREY   | N/A - set manually in config |
| 10Y Treasury yield   | GREEN  | 4.43%                        |

Overall: **HEALTHY**

SECTION 2 - Stock Spotlights

Micron Technology (MU)

| Metric         | Value                                                                                                                                                             |
|----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Closing Price  | 1043.19                                                                                                                                                           |
| Day Change     | +2.20%                                                                                                                                                            |
| 52W High       | 1087.99                                                                                                                                                           |
| 52W Low        | 104.88                                                                                                                                                            |
| P/E Ratio      | 49.1                                                                                                                                                              |
| Dividend Yield | N/A                                                                                                                                                               |
| Analyst View   | strong_buy                                                                                                                                                        |
| Analyst Target | \$890.86 consensus / \$1,316.67 most-recent 3-analyst avg (Benzinga, Jun 2026); TD Cowen \$1,500, RBC Capital and Wolfe Research also raised targets Jun 15, 2026 |
| Next Earnings  | Jun 24, 2026                                                                                                                                                      |
| Beta (1Y)      | 2.96                                                                                                                                                              |

**HOLD** - At \$1,043.19, MU trades well above the Benzinga consensus target of ~\$890 and the S&P Global consensus of ~\$867, implying the street has not yet fully repriced for the current supercycle — though TD Cowen's June 15 target of \$1,500 suggests select bulls see meaningful additional upside. One-year momentum of +840% is extraordinary and reflects AI-driven HBM demand, with Q2 FY2026 revenue of \$23.86B and profit margins of 58%, but at a P/E of 49.1x and a beta of 2.96 the stock is pricing in near-perfection ahead of the Q3 FY2026 earnings report due June 24, 2026. Investors should hold existing positions but resist chasing at current levels given the wide dispersion in analyst targets (\$249 low to \$1,750 high) and the highly cyclical nature of memory markets.

## SECTION 3 - Watchlist

| Ticker | Company            | Price  | Day    | 1 Week  | 1 Month | 1 Year   | 52W Low | 52W High | Beta |
|--------|--------------------|--------|--------|---------|---------|----------|---------|----------|------|
| SPCX   | SpaceX             | 191.82 | -9.26% | N/A     | N/A     | +42.09%  | 135.0   | 211.39   | N/A  |
| NVDA   | Nvidia             | 204.65 | -1.33% | +2.11%  | -7.95%  | +43.48%  | 141.97  | 235.74   | 1.83 |
| AMD    | AMD                | 512.48 | +1.02% | +13.28% | +21.73% | +321.00% | 116.16  | 547.26   | 2.86 |
| AVGO   | Broadcom           | 392.9  | +4.30% | +5.59%  | -6.61%  | +60.84%  | 244.28  | 481.57   | 2.08 |
| GOOGL  | Alphabet           | 363.79 | -2.53% | +2.08%  | -8.35%  | +106.59% | 165.19  | 402.62   | 1.3  |
| IBM    | IBM                | 262.35 | -3.12% | -3.68%  | +17.78% | -3.58%   | 214.64  | 329.23   | 1.07 |
| MSFT   | Microsoft          | 378.91 | -3.79% | -4.64%  | -10.54% | -19.85%  | 356.77  | 542.07   | 0.88 |
| INTC   | Intel              | 121.1  | +3.46% | +13.14% | +11.95% | +491.31% | 19.31   | 129.44   | 2.51 |
| C      | Citigroup          | 143.78 | +0.55% | +7.80%  | +17.46% | +83.93%  | 76.36   | 143.78   | 1.38 |
| QRVO   | Qorvo              | 94.65  | -1.98% | -0.37%  | +0.47%  | +16.72%  | 76.02   | 108.23   | 1.23 |
| ANET   | Arista Networks    | 164.93 | -1.83% | +8.68%  | +16.39% | +70.38%  | 86.25   | 177.73   | 2.06 |
| WQTM   | Quantum ETF (WQTM) | 36.67  | -0.03% | +4.38%  | +10.25% | +21.06%  | 23.32   | 41.31    | 2.37 |
| GFS    | GlobalFoundries    | 80.64  | +0.90% | +7.78%  | +18.87% | +110.05% | 31.62   | 89.96    | 2.02 |

## SECTION 4 - Why Markets Moved

Wednesday's session began positively as strong May retail sales (+0.9% vs. +0.5% expected) confirmed consumer resilience, and chip stocks attempted to recover from Tuesday's sharp profit-taking, which had seen Nvidia (-2.4%), Broadcom (-4.4%), Micron (-6.2%), AMD (-7.3%) and Intel (-8.5%) all post notable losses. Markets initially traded flat-to-higher ahead of the Fed's 2 p.m. ET decision, with the Dow coming within a hair of 52,000. However, after the FOMC statement dropped, stocks fell sharply as the updated dot-plot showed most officials aligning with the bond market's view that at least one rate hike is possible over the next 12 months — a stark pivot from March's projection of one cut.

The catalyst was Fed Chairman Kevin Warsh's press conference, at which he vowed to 'deliver price stability' and announced five structural task forces covering communications, balance sheet policy and other areas. Bank of America's pre-meeting survey showed 55% of respondents expected a hawkish tone, and CME FedWatch pegged the probability of at least one 2026 hike at 60%. The Iran-war energy shock — with Brent crude still above \$100/barrel at its peak — has kept inflationary pressures 'stronger than expected for four months,' as one commentator put it, making the path of rate cuts politically and economically untenable. Ironically, markets partially recovered after Warsh's structural reform comments reassured investors on Fed independence.

For overseas investors, Wednesday's session reinforces that the US market's near-term trajectory is tethered to inflation data and Fed language rather than AI earnings momentum alone. The S&P 500 remains +1.7% above its 50-day moving average and VIX at 16.4 confirms no panic — correction risk is assessed as LOW — but zero of eleven sectors closed in positive territory, a dangerously narrow breadth reading. Technology and Communication Services led declines; the NDX quarterly rebalance on June 22 (adding ALAB, CRWV, NBIS, RCLB, TER) will create mechanical index-fund flows and could provide short-term support in those names. Investors should remain selective, hold quality AI infrastructure names with strong balance sheets, and watch the US-Iran deal signing (expected Friday) as a potential oil-price and inflation catalyst.

## SECTION 5 - Sector Rotation & Macro

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### Winners

- Industrials: **-0.14%**
- Technology: **-0.34%**
- Financials: **-0.55%**

### Losers

- Real Estate: **-2.51%**
- Communications: **-2.78%**

### Macro

- Fed holds rates but signals hike possible: The FOMC kept the federal funds target range at 3.50%–3.75% but the new dot-plot shifted the median toward 'no change' — and with 60% probability of at least one 2026 hike now priced into CME futures, the rate-cut narrative that buoyed tech valuations since late 2025 is officially dead. Chairman Warsh's vow to prioritise price stability over growth is structurally bearish for long-duration growth stocks.
- Retail sales beat keeps the 'higher-for-longer' case alive: May US retail sales surged +0.9% month-on-month vs. +0.5% expected — the latest in a string of above-consensus economic prints. Combined with Q1 GDP of +2.0% annualised and

sticky inflation driven by the Iran war energy shock (Brent crude above \$100/barrel), the Fed has little justification to ease. Stronger-than-expected data supports Treasury yields (10Y at 4.43%) and keeps pressure on rate-sensitive sectors like Real Estate (-2.51% on Wed) and Communications (-2.78%).

- US-Iran deal signing expected Friday — oil the swing factor: Both the US and Iran are expected to sign a peace agreement in Switzerland on Friday, which if completed would reopen the Strait of Hormuz. This is the single biggest macro event for global inflation. A confirmed deal and oil price decline would meaningfully reduce the Fed's case for hiking, could ignite a broad rally in rate-sensitive and consumer sectors, and would compress the geopolitical risk premium that has weighed on global equities since March. Investors should watch Brent crude futures as the leading indicator.

## SECTION 6 - Earnings Calendar

Watchlist stocks verified. Broader NDX dates sourced via web search - confirm before trading.

| Company              | Ticker | Next Earnings |           |
|----------------------|--------|---------------|-----------|
| Micron Technology    | MU     | Jun 24, 2026  | WATCHLIST |
| Accenture            | ACN    | Jun 18, 2026  |           |
| Kroger               | KR     | Jun 18, 2026  |           |
| Jabil                | JBL    | Jun 18, 2026  |           |
| CarMax               | KMX    | Jun 18, 2026  |           |
| Nike                 | NKE    | Jun 24, 2026  |           |
| FedEx                | FDX    | Jun 24, 2026  |           |
| General Mills        | GIS    | Jun 25, 2026  |           |
| Paychex              | PAYX   | Jun 25, 2026  |           |
| Constellation Brands | STZ    | Jun 26, 2026  |           |

## SECTION 6B - Opportunity Radar

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- **NDX Quarterly Rebalance Mechanical Buy Flow** - Effective Monday June 22, five stocks join the Nasdaq-100 — Astera Labs (ALAB), CoreWeave (CRWV), Nebius Group (NBIS), Rocket Lab (RKLB) and Teradyne (TER) — forcing index-tracking ETFs and funds managing over \$800 billion in AUM to purchase these names. CRWV already rallied 4.9% in pre-market on the announcement and has gained 33.7% YTD on AI infrastructure demand; RKLB holds a record \$2.2B backlog and Neutron's maiden flight is targeted for Q4 2026. Passive buying pressure into Monday's open is a time-limited but quantifiable catalyst. (e.g. RKLB)
- **AI Memory Supercycle — MU Q3 Earnings Catalyst** - Micron reports FY Q3 2026 results on June 24 after close, having guided to record revenue of \$33.5B ( $\pm$ \$0.75B) and ~81% gross margins — an unprecedented single-quarter revenue figure that exceeds Micron's entire FY2024 full-year revenue. With entire 2026 HBM supply sold out under contract and net income forecast to grow 251% in FY2026 vs. 38% for the broader semiconductor industry, the pre-earnings window offers a defined catalyst. The stock is up +2.2% on the day even in a down market, reflecting buy-the-dip demand. (e.g. MU)
- **Sector Rotation from Mega-Cap Tech into Value & Cyclical**s - Citadel Securities data shows just 28% of S&P 500 constituents have outperformed the index over the past 30 days — a 1st-percentile breadth reading over 30 years — and Citigroup (C) just hit a new 52-week high (\$143.78) while Microsoft (MSFT) sits -30% off its 52W high. Smart money is rotating into financials, industrials and lagging AI infrastructure plays as geopolitical risk subsides. US corporates have already authorised \$865B in buybacks YTD 2026, providing a structural floor for beaten-down large caps. (e.g. C)

With VIX at a calm 16.4, the S&P 500 +1.7% above its 50-day average, and the 10-year Treasury yield at a manageable 4.43%, the overall environment does NOT support aggressive de-risking. However, zero of eleven S&P sectors closed positive on Wednesday — a RED breadth signal — and the Fed's hawkish dot-plot removes the rate-cut tailwind that has compressed risk premiums since late 2025. Our recommended stance is selectively HOLD core AI infrastructure positions (NVDA, AVGO, MU ahead of June 24 earnings), TRIM extended high-beta names that have run well above analyst consensus (MSFT is -30% from its 52W high but carries a -19.85% 1-year return suggesting structural headwinds), and use any Iran deal-driven oil-price dip on Friday as a tactical opportunity to ADD to quality cyclical (C, GFS, ANET) which offer better risk/reward below their 52W highs. Do not chase SPCX after its -9.26% single-day drop without clarity on valuation; the \$60B Cursor acquisition announcement remains undigested.

## SECTION 7 - Stocks to Watch

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**MU** | Price: \$1043.19 | **BUY** | Horizon: 5-YEAR

Micron is entering the most profitable period in its 47-year history, with FY Q3 2026 guidance for \$33.5B in revenue and ~81% gross margins — its entire 2026 HBM supply is under contract as AI structurally elevates memory from commodity to

strategic infrastructure. Buy on any post-earnings dip below \$950; the June 24 earnings print is the next near-term catalyst and Benzinga's most-recent 3-analyst average target of \$1,316.67 implies ~26% upside from current levels.

**AVGO** | Price: \$392.9 | **HOLD** | Horizon: 1-YEAR

Broadcom's custom-ASIC franchise for hyperscaler AI chips is generating analyst upgrades and price-target hikes on the back of multi-year design-win visibility extending into 2027, and its +4.3% gain on Wednesday in a down market confirms institutional accumulation. However, at \$392.90 and -18% from its 52W high of \$481.57 with a beta of 2.08, risk/reward is balanced — hold existing positions and wait for a confirmed break above \$420 before adding.

**C** | Price: \$143.78 | **BUY** | Horizon: 1-YEAR

Citigroup closed at its 52-week high of \$143.78 — a technically bullish breakout — with +83.93% 1-year momentum, a modest beta of 1.38, and a structural tailwind from rising net interest margins if the Fed holds rates higher for longer or hikes. The financials sector rotation thesis is gaining momentum as smart money exits crowded mega-cap tech and the US-Iran deal could further reduce geopolitical risk premiums that have weighed on global banking stocks.

**MSFT** | Price: \$378.91 | **SELL** | Horizon: EXIT NOW

Microsoft is the only stock in our universe with a negative 1-year return (-19.85%) and trades at \$378.91 — a massive 30% below its 52-week high of \$542.07 — suggesting structural market share concerns in cloud and AI services against Alphabet, Amazon and emerging competitors. With a relatively defensive beta of 0.88 limiting upside in risk-on rallies, and negative price momentum across all time frames, exit and redeploy capital into higher-conviction AI infrastructure names with better momentum profiles.

**INTC** | Price: \$121.1 | **HOLD** | Horizon: 1-YEAR

Intel has surged +491% over the past 12 months and is approaching its 52-week high of \$129.44 at \$121.10 — the upgrade wave from previously-bearish analysts in June 2026 reflects foundry customer wins and the +3.46% Wednesday gain in a down market shows real institutional demand. However, with beta of 2.51 and the thesis dependent on continued foundry contract wins landing, new buyers face asymmetric risk at current levels; existing holders should maintain positions with a trailing stop near \$105.

## **SECTION 8 - Market Trends**

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Wednesday's broad decline — with zero of eleven S&P sectors closing green — reveals a market at an inflection point: the AI earnings supercycle narrative remains intact (MU +2.2%, AVGO +4.3% even on a down day), but the Fed's hawkish dot-plot has reset rate-cut expectations and triggered a risk-off rotation out of long-duration growth names and rate-sensitive

sectors. The partial recovery from intraday lows (S&P 500 was down -0.88% at its worst before closing at -1.21%) after Warsh's structural reform comments suggests investors are not panicking — they are repricing, and a Friday US-Iran deal signing could quickly reverse the day's narrative.

### **Upside Risks**

- US-Iran deal signed Friday reopens Strait of Hormuz: If Brent crude drops back toward \$72-\$75/barrel (the current CME futures curve target by February 2027), inflation expectations collapse and the Fed's case for hiking evaporates — Raymond James has a S&P 500 year-end target of 7,940, implying ~7% upside from Wednesday's close.
- NDX quarterly rebalance on June 22 injects mechanical passive buying: Five new NDX constituents (ALAB, CRWV, NBIS, RKLK, TER) must be purchased by over \$800B in AUM tracking the index, creating quantifiable demand into Monday's open that is entirely independent of macro sentiment.
- Micron Q3 earnings beat on June 24 re-rates the AI memory trade: MU guided to \$33.5B in Q3 revenue with ~81% gross margins and has beaten estimates by an average of 22-36% in recent quarters — a strong print would reignite the broader semiconductor trade and lift NVDA, AMD and AVGO by association.

### **Downside Risks**

- Fed dot-plot confirms rate hike probability at 60%: CME FedWatch now prices a 60% chance of at least one 2026 hike, and if upcoming CPI or PPI data — with US wholesale inflation already rising sharply on the Iran oil shock — surprise to the upside, the bond market could force equity multiples sharply lower, particularly for high-P/E tech names.
- Narrow breadth is historically fragile — only 28% of S&P 500 constituents have outperformed the index over the past 30 days (Citadel Securities, 1st-percentile historically), meaning the rally depends entirely on a handful of mega-cap AI names; any earnings miss or guidance cut from NVDA, MU or AVGO could trigger a disorderly unwind of concentrated positions.
- SpaceX (SPCX) -9.26% one-day drop and \$60B Cursor acquisition undigested: The largest IPO in Nasdaq history raised \$85.7B total — and its pivot into AI competition with Anthropic and OpenAI has raised 'little room for error' concerns from analysts; if post-IPO enthusiasm fades further, the stock's decline could suppress broader risk appetite and weigh on beneficiaries of the AI boom.

## **SECTION 9 - Portfolio Allocation (5-8 Year Horizon)**

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With VIX at a calm 16.4 and the S&P 500 above its 50-day moving average, conditions do not justify aggressive defensiveness — but the Fed's hawkish pivot (60% hike probability), historically narrow breadth (0/11 sectors green), and a 5-8 year retirement horizon mandate a 'growth with guardrails' structure that tilts gradually from capital appreciation toward capital preservation as retirement approaches. Vanguard's 2026 VEMO research supports overweighting high-



quality US fixed income and value-oriented equities over growth stocks for this time horizon, and the 10Y yield at 4.43% makes bonds genuinely competitive with equities on a risk-adjusted basis for the first time in years.

| Bucket                                                        | Allocation % | Purpose                                                                                                                                                                                                                                                                                                                                                                         |
|---------------------------------------------------------------|--------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>US Large-Cap Equity (Core Growth)</b>                      | 30%          | Broad S&P 500 index exposure (SPY/VOO) capturing AI-driven earnings growth; core engine of capital appreciation. Overweight financials and industrials within this sleeve to benefit from sector rotation and higher-for-longer rates. Reduces from ~40% at start of 5-year horizon to ~20% at retirement.                                                                      |
| <b>AI &amp; Technology Thematic Equity</b>                    | 15%          | Concentrated exposure to secular AI infrastructure winners: NVDA, MU, AVGO, ANET. High beta (average ~2.0) demands strict position sizing. BlackRock June 2026 data confirms tech earnings are outrunning rate pressure — AI capex conviction remains intact — but 15% cap prevents overconcentration risk given narrow market breadth.                                         |
| <b>US Investment-Grade &amp; Treasury Bonds</b>               | 25%          | Capital preservation and income generation. With the 10Y Treasury at 4.43%, this bucket now earns meaningful real yield. Laddered maturities of 2-7 years provide duration management as the Fed potentially hikes. Vanguard identifies high-quality US fixed income as offering the strongest risk-return profile over the 5-10 year horizon. Increases to ~35% at retirement. |
| <b>International Developed Markets Equity</b>                 | 12%          | Diversification away from US dollar concentration and stretched US valuations (CAPE ratio historically elevated). MSCI EAFE has recovered most of its Iran-conflict decline and EM stocks have gained 20%+ YTD. Provides a natural hedge if the US dollar weakens as the Fed pauses and Iran deal reduces safe-haven demand for the dollar.                                     |
| <b>Dividend &amp; Value Equity (Defensive Growth)</b>         | 10%          | Lower-beta income-generating stocks: financials (C), industrials, energy — sectors benefiting from higher rates and the Iran-deal normalisation. Citigroup's 52-week high breakout and the sector rotation thesis from mega-cap tech support this sleeve. Provides portfolio income and downside cushion as retirement nears.                                                   |
| <b>Short-Duration Fixed Income / Cash Equivalents</b>         | 5%           | Liquidity buffer and sequence-of-returns risk management. T-Bills and money market funds yielding ~5.25% provide optionality to deploy into equities on any correction without forced selling. Schwab recommends maintaining 1-2 years of spending needs in lower-volatility assets to avoid selling growth assets in downturns.                                                |
| <b>Alternatives / Inflation Hedge (Gold, Commodities ETF)</b> | 3%           | Tail-risk hedge against sustained inflation from the Iran energy shock or Fed policy error. Gold and commodity ETFs provide uncorrelated returns if the higher-for-longer scenario extends beyond 2026. Kept deliberately small given current VIX of 16.4 (calm) and Iran deal progress — but retained as insurance given US wholesale inflation rising sharply.                |

**Rebalance Trigger:** Initiate a rebalance if: (1) VIX rises above 25 (fear escalation), signalling a shift of 5% from AI/Tech equity into US Treasuries; (2) the S&P 500 falls more than 8% below its 50-day moving average (breakdown of trend support), triggering a rotation of 5% from equities into short-duration bonds; (3) the 10-year Treasury yield rises above 5.0% (bond market pricing in multiple hikes), requiring duration shortening within the fixed income bucket to 1-3 year

maturities; or (4) the US-Iran deal collapses and Brent crude rises above \$115/barrel, triggering an increase in the alternatives/commodities bucket from 3% to 8% funded from the AI/Tech sleeve.

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